A VISUAL PRIMER · NO. 01

Options, *at a glance.*

A contract on something else, with **two sides you can take**. Most people only ever picture themselves as the *buyer* — but for every option that trades, someone is also the *seller*. Both seats are real strategies. Both are how money moves.

Cheat sheet
Rights · Obligations
Calls · Puts
Buyer · Seller

One page

Read order
01 → 02 → 04
(the core)

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01 / Anatomy

An option is a contract on an underlying asset.

Two people sit on either side of a piece of paper. One pays a **premium** upfront for the *right* to do something later. The other pockets the premium and accepts the *obligation* to play along if asked.

UNDERLYING
What the contract is *about* — a stock, ETF, index, future, or commodity. The option's value derives from this.

STRIKE (K)
The agreed-on price at which the underlying could change hands. The fulcrum of every option.

EXPIRATION
The deadline. After it passes, the right vanishes — and so does the obligation.

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02 / Either side

An option has two sides. *You can take either one.*

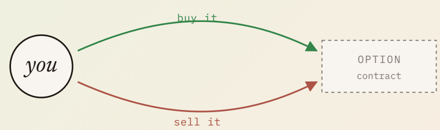
This is the part most people forget. When you trade an option, you are choosing a **seat** — buyer or seller. Both are real positions, both have premium flowing through them, and both are how traders actually make money. The buyer side is just the half that gets advertised.

THE MENTAL MODEL MOST PEOPLE HAVE

*"An option is something you **buy**."
— one-directional, one outcome
to root for, one ticket in hand.*

→

THE ACTUAL STRUCTURE



*An option is a **contract**. You can buy it from someone, or sell it to someone. Both are positions. Both are trades you can place tomorrow.*

DOOR 1 · THE FAMILIAR SIDE

You *buy* the option.

BECOME THE HOLDER · LONG THE OPTION

- **You pay the premium** — cash out of your account, today.
- **You hold a right** — to buy (call) or sell (put) the underlying at the strike.
- **You decide** whether to exercise, sell the option to someone else, or let it expire.
- **Max loss = premium paid.** Upside depends on what you bought.

You are betting that something happens — a move, a spike, a specific outcome — before the deadline.

DOOR 2 · THE FORGOTTEN SIDE

You *sell* the option.

BECOME THE WRITER · SHORT THE OPTION

- **You collect the premium** — cash *into* your account, today. That is your maximum profit.
- **You take on an obligation** — to deliver (call) or to take delivery (put) at the strike, if assigned.
- **The buyer decides.** You wait. You can buy back to close anytime, or hope it expires worthless.
- **Max gain = premium received.** Risk depends on what you sold.

You are betting that nothing happens — that the move doesn't come, that time passes, that the option expires unused.

A USEFUL REFRAME.
The 50/50.

For every option that exists, **someone bought it and someone sold it.** Premium flowed from one to the other. If "buying options" is the only side you consider, you are looking at half of every trade — and ignoring the side that, by structure, takes in cash on day one.

03 / Two flavors

Calls go up. Puts go down.

There are only two kinds of options. A call is a contract about **buying** the underlying; a put is a contract about **selling** it. Either flavor can itself be *bought or sold* — which is what produces the four positions on the next page.

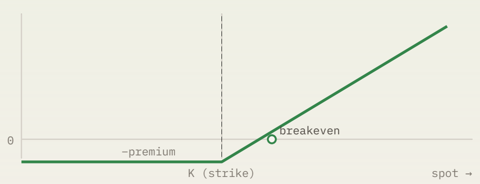
● CALL · C

A right to *buy.*

The holder can **buy** the underlying at the strike price, regardless of where the market goes.

> *Think of it as a coupon: "good for one share at $100, until next month." Worth more the higher the share trades.*

VIEW	**Bullish** — wants the price to rise above strike.
PROFITS WHEN	Spot price **> strike + premium** at expiry.
WORTHLESS IF	Spot stays at or below strike at expiry.



PAYOFF FOR THE BUYER (HOLDER) OF A CALL AT EXPIRATION

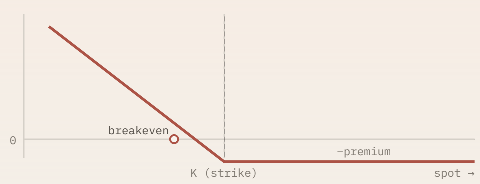
● PUT · P

A right to *sell.*

The holder can **sell** the underlying at the strike price, even if the market price has collapsed.

> *Think of it as insurance: "good for one share sold at $100, even if it's trading at $60." Worth more the lower it falls.*

VIEW	**Bearish** — wants the price to fall below strike.
PROFITS WHEN	Spot price **< strike – premium** at expiry.
WORTHLESS IF	Spot stays at or above strike at expiry.



PAYOFF FOR THE BUYER (HOLDER) OF A PUT AT EXPIRATION

04 / Four seats

Two flavors × two sides = *four seats. Pick one.*

This is the most important diagram on the page. Every options trade you'll ever place is choosing one of these four cells. The **top row** is what most people mean when they say "options" — buying them. The **bottom row** is where premium sellers live, and it is just as real a position to take.

CALL · RIGHT TO BUY

PUT · RIGHT TO SELL

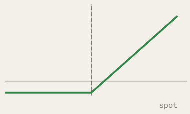
BUYER

Long

Pays premium. Holds a right.

Long Call

↑ BULLISH

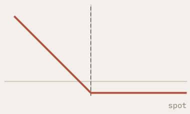


PAYOFF

RIGHT	To **buy** at strike
PAYS	Premium upfront
MAX GAIN	Unlimited (as spot rises)
MAX LOSS	Premium paid
BREAKEVEN	Strike + premium

Long Put

↓ BEARISH



PAYOFF

RIGHT	To **sell** at strike
PAYS	Premium upfront
MAX GAIN	Strike − premium (spot → 0)
MAX LOSS	Premium paid
BREAKEVEN	Strike − premium

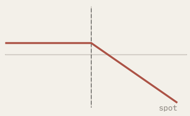
SELLER

Short

Receives premium. Carries an obligation.

Short Call

↓ BEARISH / NEUTRAL

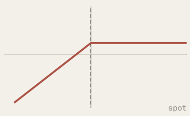


PAYOFF (MIRROR)

OBLIGATION	To **sell** at strike if assigned
RECEIVES	Premium upfront
MAX GAIN	Premium received
MAX LOSS	**Unlimited** (as spot rises)
BREAKEVEN	Strike + premium

Short Put

↑ BULLISH / NEUTRAL



PAYOFF (MIRROR)

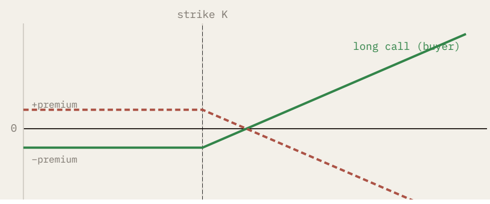
OBLIGATION	To **buy** at strike if assigned
RECEIVES	Premium upfront
MAX GAIN	Premium received
MAX LOSS	Strike − premium (spot → 0)
BREAKEVEN	Strike − premium

Every option is a mirror.

The seller's payoff is exactly the negative of the buyer's. Whatever the holder makes at expiration, the writer loses — and the other way around. Choosing which side of an option to take is choosing which half of this diagram you want.

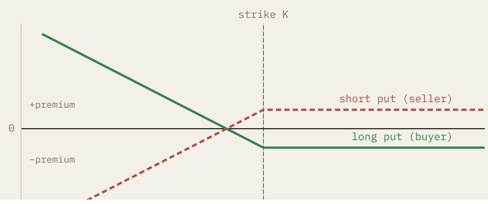
The call — buyer vs. seller

● SAME CONTRACT · OPPOSITE SEATS



The put — buyer vs. seller

● SAME CONTRACT · OPPOSITE SEATS



When you'd actually take each seat.

Same underlying — XYZ trading at $100. Same expiration — 30 days. Same $100 strike. Four very different reasons to sit down.

BUY A CALL

Long Call

> *"I think XYZ pops above $100 within a month."*

Bullish, with conviction and a deadline. You pay a small premium for leveraged upside; if you're wrong, you lose only what you paid.

PAY $3 → keep all upside above $103
WORST CASE — lose $3

BUY A PUT

Long Put

> *"I think XYZ tanks – or I want insurance on shares I already own."*

Bearish, or a hedge. Pays off when the underlying falls. The classic "portfolio insurance" trade.

PAY $3 → keep all downside below $97
WORST CASE — lose $3

SELL A CALL

Short Call

> *"I don't think XYZ will run past $100. I'll get paid to wait."*

Bearish or neutral. Often sold "covered" — against shares you own — to generate income, capping your upside in exchange.

RECEIVE $3 → keep it if XYZ stays ≤ $100
WORST CASE — unlimited if naked

SELL A PUT

Short Put

> *"I'd be happy to own XYZ at $100. Until then, pay me to wait."*

Bullish or neutral. A way to get paid for being patient — either you collect the premium, or you get assigned the shares at a price you already liked.

RECEIVE $3 → keep it if XYZ stays ≥ $100
WORST CASE — own shares well below $100

05 / Who can do what

Rights belong to the buyer. Obligations belong to the seller.

This is the single asymmetry that defines every option. The buyer chooses; the seller waits. The seller is *compensated* for that asymmetry by the premium — that's what they're being paid for.

RIGHTS

The Buyer (Holder)

PAYS PREMIUM · LONG THE OPTION

- **Right to exercise.**
  Can choose to invoke the contract — buy (call) or sell (put) the underlying at strike.
- **Right to walk away.**
  If exercising would lose money, simply lets the option expire. Maximum loss is the premium paid.
- **Right to close the position.**
  Can sell the option to someone else any time before expiration, locking in current value.
- **No obligation, ever.**
  Exercise is optional. That's the whole point of being long an option.

OBLIGATIONS

The Seller (Writer)

RECEIVES PREMIUM · SHORT THE OPTION

- **Obligation to perform if assigned.**
  If the buyer exercises, must sell (short call) or buy (short put) the underlying at the strike — even if the market price is far away.
- **Keeps the premium no matter what.**
  The cash received at the open is the seller's to keep, win or lose.
- **Can buy back to close.**
  Can repurchase the same option in the market to extinguish the obligation before expiration.
- **No choice in the matter.**
  If exercised against, must comply. Brokers assign typically in-the-money options at expiry automatically.

06 / Moneyness

Where the spot price sits, relative to the strike.

"Moneyness" is just shorthand for whether an option would currently pay out if exercised. Calls and puts are mirror images here.

● CALL · K = $100

The right to buy at $100

SPOT	VS. STRIKE	STATE	INTRINSIC
$120	above	IN THE MONEY	$20
$105	above	IN THE MONEY	$5
$100	equal	AT THE MONEY	$0
$95	below	OUT OF THE MONEY	$0
$80	below	OUT OF THE MONEY	$0

● PUT · K = $100

The right to sell at $100

SPOT	VS. STRIKE	STATE	INTRINSIC
$120	above	OUT OF THE MONEY	$0
$105	above	OUT OF THE MONEY	$0
$100	equal	AT THE MONEY	$0
$95	below	IN THE MONEY	$5
$80	below	IN THE MONEY	$20

07 / Glossary

A few more words you'll meet.

The bare-minimum vocabulary to read an option chain or follow along in a strategy article.

Premium

The price paid by the buyer to the seller for the contract. The seller keeps it regardless.

Strike (K)

The agreed-on price for the underlying if the option is exercised.

Expiration

The date after which the option ceases to exist. Common cadences: weekly, monthly, quarterly.

Underlying

The asset the option is written on — stock, ETF, index, future, or commodity.

Exercise

The act of using the right: buying (call) or selling (put) at the strike. A holder's choice.

Assignment

The seller's side of exercise — being forced to deliver. Not optional.

Intrinsic value

The payoff you'd get if exercised right now. Zero for out-of-the-money options.

Extrinsic / Time value

Premium beyond intrinsic — paid for the possibility the option moves further in the money before expiry.

American vs. European

American: exercisable any time before expiry. European: only at expiry. Most single-stock options are American.

Long / Short

Long = the buyer's side, holding the right. Short = the seller's side, carrying the obligation.

Covered vs. Naked

A short call is "covered" if the seller already owns the underlying — limited risk. "Naked" if they don't — risk is unbounded.

Contract multiplier

Standard US equity options represent 100 shares of the underlying per contract. A $1 premium quote = $100 paid.

EDUCATIONAL REFERENCE — NOT INVESTMENT ADVICE